

Shin-Etsu Chemical (4063.T)

Q1 review: FY3/27 cut on weaker PVC outlook, but strong semiconductor and AI materials support FY3/28 onwards

4063.T 12m Price Target: **¥9,510** Price: **¥6,159** Upside: **54.4%**

We have revised our earnings forecasts for Shin-Etsu Chemical following its Q1 results and our subsequent review of business trends. We cut our FY3/27 operating profit forecast by 5%, primarily reflecting a lower PVC pricing assumption in the Infrastructure segment. While the weaker PVC outlook also weighs on our FY3/28–29 forecasts, the impact is expected to be partially offset by strong growth in the Electronics Materials business—driven by silicon wafers, photoresists, and magnetic materials—as well as solid performance in Functional Materials, supported by silicones and new products. As a result, our FY3/28 and FY3/29 operating profit forecasts are reduced by only 2% and less than 1%, respectively.

The business environment for PVC from Q2 onward is clearly more challenging than we previously expected. The stock has corrected sharply, falling 8.3% between the Q1 earnings announcement and July 27 vs a 1.4% gain for TOPIX. However, we believe the market has largely priced in the anticipated downward consensus revisions. Shin-Etsu now trades at a relatively attractive valuation, while the contribution of the cyclical Infrastructure segment to company-wide operating profit is expected to decline to an average of 18% over FY3/27–29, down from a 42% average over the past five years.

In contrast, expanding demand for semiconductor materials and AI-related products—particularly in front-end semiconductor applications—should drive a CAGR of 19% in operating profit between FY3/26 and FY3/29. Against this backdrop, the stock is trading at 17x FY3/28 P/E, within its 10-year historical range of 14–21x and increasingly attractive in our view. We lower our target price slightly to ¥9,510 from ¥9,610 to reflect our revised earnings forecasts, but reiterate our Buy rating.

BUY

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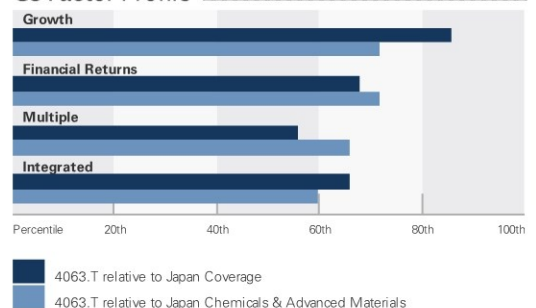
Key Data

Market cap: ¥11.4tr / \$69.8bn
Enterprise value: ¥10.5tr / \$64.0bn
3m ADTV: ¥57.0bn / \$355.5mn
Japan
Japan Chemicals & Advanced Materials
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	2,574.0	2,863.7	3,155.5	3,496.5
Op. profit (¥ bn) New	635.2	738.4	873.3	1,065.1
Op. profit (¥ bn) Old	635.2	780.5	887.9	1,069.7
Op. profit CoE (¥ bn)	–	700.0	–	–
EPS (¥) New	255.5	307.9	370.2	445.5
EPS (¥) Old	255.5	322.8	374.6	445.7
P/E (X)	19.0	20.0	16.6	13.8
P/B (X)	2.0	2.6	2.5	2.5
CROCI (%)	10.3	11.0	12.1	13.4
	6/26	9/26E	12/26E	3/27E
EPS (¥)	70.3	–	–	–

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Shin-Etsu Chemical (4063.T)

Rating since Aug 15, 2019

Ratios & Valuation

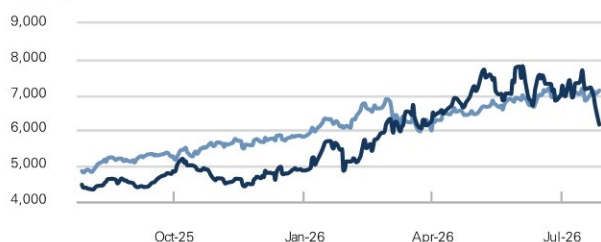
	3/26	3/27E	3/28E	3/29E
P/E (X)	19.0	20.0	16.6	13.8
P/B (X)	2.0	2.6	2.5	2.5
FCF yield (%)	4.1	3.3	4.1	5.3
EV/EBITDAR (X)	8.8	10.2	8.8	7.5
EV/EBITDA (excl. leases) (X)	8.8	10.2	8.8	7.5
CROCI (%)	10.3	11.0	12.1	13.4
ROE (%)	10.4	12.6	14.9	17.9
Net debt/equity (%)	(30.5)	(25.8)	(21.0)	(17.9)
Net debt/equity (excl. leases) (%)	(30.5)	(25.8)	(21.0)	(17.9)
Interest cover (X)	234.7	144.8	171.2	208.8
Days inventory outst, sales	110.7	105.5	103.6	99.4
Receivable days	74.5	72.1	72.4	72.2
Days payable outstanding	38.9	36.8	37.9	38.9
DuPont ROE (%)	10.2	12.2	14.1	16.6
Turnover (X)	0.5	0.5	0.6	0.6
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (¥)	6,992.9	7,346.8	7,774.2	8,215.7
Average capital employed (¥)	3,186.3	3,301.8	3,495.4	3,733.4
BVPS (¥)	2,404.5	2,409.1	2,472.4	2,509.5

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	0.5	11.3	10.2	10.8
EBITDA growth	(10.4)	12.6	16.2	18.0
EPS growth	(6.2)	20.5	20.2	20.3
DPS growth	0.0	13.2	25.0	20.0
EBIT margin	24.7	25.8	27.7	30.5
EBITDA margin	34.1	34.5	36.4	38.8
Net income margin	18.4	19.3	20.5	22.3

Price Performance

4063.T (¥)



	3m	6m	12m
Absolute	(11.4)%	12.5%	36.0%
Rel. to the TOPIX	(18.5)%	(1.3)%	(1.2)%

Source: FactSet. Price as of 27 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	2,574.0	2,863.7	3,155.5	3,496.5
Cost of goods sold	(1,693.2)	(1,852.1)	(1,981.1)	(2,097.8)
SG&A	(245.6)	(273.2)	(301.1)	(333.6)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	878.2	988.7	1,148.5	1,355.7
Depreciation & amortization	(243.0)	(250.3)	(275.2)	(290.6)
EBIT	635.2	738.4	873.3	1,065.1
Net interest inc./exp.)	60.2	64.9	66.9	67.9
Income/(loss) from associates	0.0	0.0	0.0	—
Pre-tax profit	708.5	807.2	943.1	1,135.9
Provision for taxes	(202.2)	(217.9)	(254.6)	(306.7)
Minority interest	(31.8)	(35.2)	(41.6)	(50.7)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	474.5	554.1	646.9	778.5
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	474.5	554.1	646.9	778.5
EPS (basic, pre-exception) (¥)	255.5	307.9	370.2	445.5
EPS (diluted, pre-exception) (¥)	255.5	307.9	370.2	445.5
EPS (basic, post-exception) (¥)	255.5	307.9	370.2	445.5
EPS (diluted, post-exception) (¥)	255.5	307.9	370.2	445.5
DPS (¥)	106.0	120.0	150.0	180.0
Div. payout ratio (%)	41.5	39.0	40.5	40.4

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	1,660.1	1,415.6	1,206.1	1,082.1
Accounts receivable	535.4	595.6	656.3	727.3
Inventory	790.9	865.1	925.4	979.9
Other current assets	113.3	113.3	113.3	113.3
Total current assets	3,106.7	2,997.5	2,900.7	2,912.0
Net PP&E	2,153.3	2,222.4	2,355.2	2,485.6
Net intangibles	34.7	34.7	34.7	34.7
Total investments	151.8	151.8	151.8	151.8
Other long-term assets	198.3	198.3	198.3	198.3
Total assets	5,644.8	5,604.7	5,649.8	5,782.4
Accounts payable	176.4	196.8	214.7	231.9
Short-term debt	6.9	6.9	6.9	6.9
Short-term lease liabilities	—	—	—	—
Other current liabilities	343.3	343.3	343.3	343.3
Total current liabilities	526.7	547.1	565.0	582.2
Long-term debt	236.4	236.4	236.4	236.4
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	271.9	271.9	271.9	271.9
Total long-term liabilities	508.2	508.2	508.2	508.2
Total liabilities	1,034.9	1,055.3	1,073.2	1,090.4
Preferred shares	—	—	—	—
Total common equity	4,464.4	4,335.3	4,320.9	4,385.6
Minority interest	178.9	214.1	255.7	306.4
Total liabilities & equity	5,678.2	5,604.7	5,649.8	5,782.4
Net debt, adjusted	(1,416.8)	(1,172.3)	(962.8)	(838.8)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	474.5	554.1	646.9	778.5
D&A add-back	243.0	250.3	275.2	290.6
Minority interest add-back	31.8	35.2	41.6	50.7
Net (inc)/dec working capital	(39.8)	(114.1)	(103.1)	(108.2)
Other operating cash flow	3.2	0.0	0.0	—
Cash flow from operations	712.7	725.5	860.6	1,011.6
Capital expenditures	(339.7)	(354.0)	(408.0)	(421.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(205.1)	—	—	—
Cash flow from investing	(544.8)	(354.0)	(408.0)	(421.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(196.8)	(215.9)	(262.1)	(314.6)
Inc/(dec) in debt	(3.4)	—	—	—
Other financing cash flows	(272.0)	(400.0)	(400.0)	(400.0)
Cash flow from financing	(472.1)	(615.9)	(662.1)	(714.6)
Total cash flow	(304.3)	(244.4)	(209.5)	(124.0)
Free cash flow	373.0	371.5	452.6	590.6

Source: Company data, Goldman Sachs Research estimates.

Electronics Materials

The Electronics Materials segment delivered a strong start to FY3/27, with Q1 operating profit rising 23% YoY and 19% QoQ. Among the segment's businesses, optical fiber preforms and rare-earth magnets recorded particularly strong profit growth, while photoresists, encapsulation materials, quartz substrates, and other products also achieved double-digit earnings growth. Semiconductor wafers posted more modest profit growth of around 5% YoY due to a high comparison base in the prior year. On a QoQ basis, encapsulation materials saw especially strong growth, while rare-earth magnets, semiconductor wafers, photomask blanks, and quartz substrates delivered profit growth broadly in line with the segment average. We estimate that photoresists achieved nearly 10% profit growth despite absorbing depreciation costs associated with the new Isesaki plant.

Semiconductor Wafers

Management estimates that AI-related applications now account for nearly 30% of 300mm wafer demand. Beyond GPUs, ASICs, and HBM, AI-driven demand is increasingly spreading to memory, power management ICs, and other supporting logic semiconductors, suggesting stronger-than-expected AI-related wafer consumption. This is important when assessing the future trajectory of 300mm wafer demand.

In addition, management indicated that bonded wafers used in applications such as CMOS Bonded on Array (CBA) for 3D NAND now account for nearly 10% of total 300mm wafer demand. As advanced semiconductor applications increasingly require multiple wafers per device, this trend could provide a larger-than-expected boost to future 300mm wafer demand.

The company also highlighted rapidly increasing demand for process wafers, including dummy monitor wafers and test wafers required for new product and production-line ramp-ups. These developments represent further signs of near-term expansion in 300mm wafer demand and support our constructive outlook.

While we believe Shin-Etsu retains some brownfield expansion capacity, management reiterated that capacity additions will remain disciplined and primarily tied to customer commitments under long-term agreements. Based on ongoing contract negotiations, we expect greenfield investments will eventually become necessary. However, given the extremely high quality and cost requirements for leading-edge AI-related wafers, the company continues to take a cautious stance toward further capacity expansion.

This cautious approach is consistent with comments made by SUMCO President Jiro Tatsuta in a July 27 Nikkei XTECH interview, where he stated that while AI demand could persist for three to five years, wafer manufacturers should not rush capacity expansion at the expense of quality. With Japan's two dominant suppliers of advanced wafers demonstrating disciplined investment behavior, we expect investors to increasingly anticipate sustained supply tightness and a favorable seller's market.

Given Shin-Etsu's relatively long contract durations versus peers, we continue to expect meaningful wafer price increases to become more visible from FY3/29 onward. In the meantime, earnings growth should remain robust, supported by higher shipment volumes, improving utilization rates, and a richer product mix driven by advanced-node products.

Lithography Materials, Optical Materials, and Magnetic Materials

We have raised our earnings forecasts from FY3/27 onward for photoresists, photomask blanks, rare-earth magnets, encapsulation materials, and optical fiber preforms.

Photoresists remain particularly strong. In addition to advanced EUV and ArF photoresists, multilayer materials are seeing substantial growth driven by leading-edge GPUs and HBM. The timing of the new Isesaki plant ramp-up appears highly favorable, and we expect high growth to continue, supported by attractive incremental margins.

Rare-earth magnets remain exposed to potential bottlenecks in heavy rare-earth procurement. However, the company is actively working with customers to significantly reduce, or ultimately eliminate the use of heavy rare-earth elements while simultaneously implementing price increases. Demand from HEVs, HDDs, and semiconductor manufacturing equipment also remains healthy.

Quartz cloth used in encapsulation materials is currently undergoing qualification for AI server motherboard CCL applications, although sample shipment volumes have already increased considerably. Meanwhile, demand for optical fiber preforms now exceeds production capacity, prompting the company to consider further expansion. We will closely monitor developments in this area.

Infrastructure Materials

We have lowered our assumptions for North American and export PVC markets from Q2 FY3/27 onward, resulting in substantial cuts to our operating profit forecasts for the segment of 26%, 25%, and 26% for FY3/27, FY3/28, and FY3/29, respectively.

The weaker outlook reflects intensifying price competition, particularly in Asia, from Chinese carbide-based production and naphtha-based PVC producers. Combined with sluggish demand and downward pricing pressure, we also see increasing risk of PVC market corrections in North America from July onward due to supply-demand balance concerns.

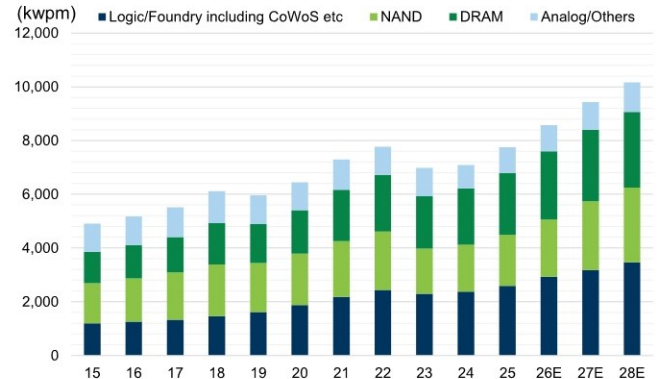
Functional Materials

The Functional Materials segment achieved a step-up in profitability in Q4 FY3/26, and this favorable trend continued into Q1. Growth was driven not only by strong performance in core silicone and cellulose businesses but also by expanding contributions from newer products such as pellicles, anode materials, and optical isolators.

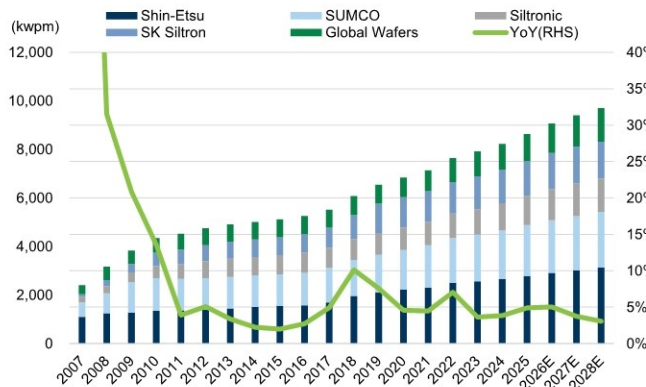
Silicones were particularly strong, benefiting from broad-based AI-related demand, including thermal management materials for AI servers and components used in power transmission infrastructure. Demand for contact lens applications also remained favorable. Although the business is facing higher raw material costs, including methanol, pricing initiatives appear to be gaining traction. Overall, our impression remains positive, and we have raised our operating profit forecasts for the segment from FY3/27 onward.

Exhibit 1: 300mm wafer shipment (kwpm)

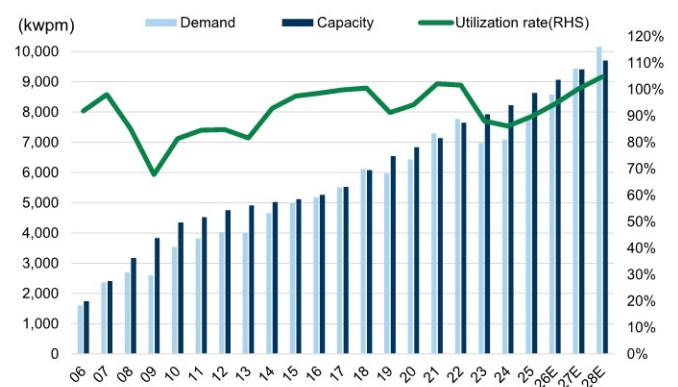
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Global supply/demand balance outlook for 300mm wafers

Source: Company data, Goldman Sachs Global Investment Research, SEMI

Exhibit 3: 300mm wafer supply outlook

Source: Goldman Sachs Global Investment Research

Exhibit 4: 300mm supply demand outlook

Source: Goldman Sachs Global Investment Research

Exhibit 5: Shin-Etsu Chemical: Earnings summary

(JPY bn)								GSE					
Sales By Business Segment	3/2024	3/2025	3/2026	3/2027	3/2028	3/2029	3/2027	3/26 1Q	3/26 2Q	3/26 3Q	3/26 4Q	3/27 1Q	3/27 2Q
Electronics Materials	850.4	934.3	1,015.8	1,199.3	1,418.0	1,715.5	NA	240.2	256.0	254.0	265.6	279.2	298.4
Infrastructure Materials	1,010.2	1,041.5	981.4	1,053.7	1,093.5	1,104.2	NA	244.4	256.0	247.4	233.6	227.7	286.0
Functional Materials	425.2	448.6	440.8	464.9	490.2	517.0	NA	110.0	110.6	113.1	107.1	118.2	118.0
Processing & Specialized Services	128.9	136.7	136.0	145.8	153.8	159.8	NA	33.9	33.2	34.8	34.1	37.1	34.5
Total	2,414.9	2,561.2	2,574.0	2,863.7	3,155.5	3,496.5	2,700.0	628.5	656.0	649.5	640.4	662.4	736.9
OP by Business Segment													
Electronics Materials	272.1	324.7	344.5	426.9	542.6	730.9	NA	83.1	87.5	88.5	85.4	101.9	110.0
Infrastructure Materials	321.9	291.4	164.9	161.4	164.9	154.4	NA	52.8	49.5	43.9	18.7	34.8	46.7
Functional Materials	85.0	100.0	101.0	116.3	128.5	140.0	NA	24.0	24.1	24.3	28.6	28.8	29.0
Processing & Specialized Services	24.1	28.7	27.3	33.8	37.3	39.8	NA	6.9	6.0	7.4	7.0	8.3	8.5
Total	701.0	742.1	635.2	738.4	873.3	1,065.1	700.0	166.8	167.1	164.1	139.7	173.8	194.2
OP Margin by Business Segment													
Electronics Materials	32.0%	34.8%	33.9%	35.6%	38.3%	42.6%	NA	34.6%	34.2%	34.8%	32.2%	36.5%	36.9%
Infrastructure Materials	31.9%	28.0%	16.8%	15.3%	15.1%	14.0%	NA	21.6%	19.3%	17.7%	8.0%	15.3%	16.3%
Functional Materials	20.0%	22.3%	22.9%	25.0%	26.2%	27.1%	NA	21.8%	21.8%	21.5%	26.7%	24.4%	24.6%
Processing & Specialized Services	18.7%	21.0%	20.1%	23.2%	24.3%	24.9%	NA	20.4%	18.2%	21.2%	20.5%	22.4%	24.6%
Total	29.0%	29.0%	24.7%	25.8%	27.7%	30.5%	25.9%	26.5%	25.5%	25.3%	21.8%	26.2%	26.4%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Shin-Etsu Chemical

We are Buy-rated on Shin-Etsu Chemical with a 12-month target price of ¥9,510. Our target price is based on the FY3/28-FY3/29 average correlation between the materials sector EV/GCI and CROCI/WACC estimates (using a cash return multiple of 0.7X and a 20% premium to the sector average).

Key risks: Deterioration in semiconductor supply/demand, and a negative earnings impact from swings in market prices for PVC and caustic soda, and in forex.

Disclosure Appendix

Reg AC

We, Atsushi Ikeda and Yuri Izumikawa, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Goldman Sachs had a non-securities services client relationship during the past 12 months with: Shin-Etsu Chemical (¥6,159)

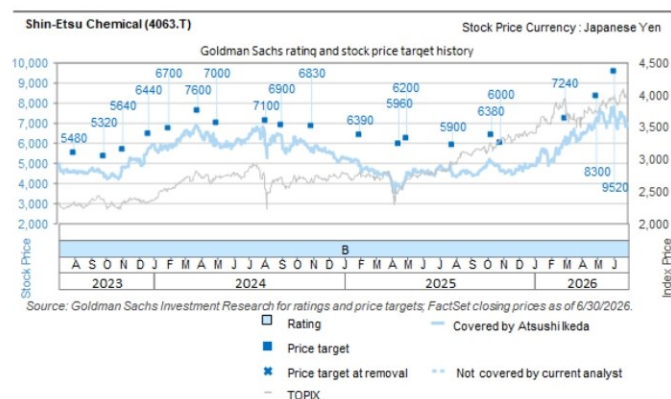
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

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Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Shin-Etsu Chemical (4063.T)

Date of report Target price (¥) Closing price (¥)

06-Jul-26	9,610	7,415
05-Jun-26	9,520	7,350
01-May-26	8,300	7,104
01-Mar-26	7,240	6,168
28-Oct-25	6,000	4,672
10-Oct-25	6,380	5,020
28-Jul-25	5,900	4,480
30-Apr-25	6,200	4,330
17-Apr-25	5,960	3,861
30-Jan-25	6,390	4,900
30-Oct-24	6,830	5,680
02-Sep-24	6,900	6,400
04-Aug-24	7,100	5,921
01-May-24	7,000	6,074
25-Mar-24	7,600	6,750
30-Jan-24	6,700	5,822
22-Dec-23	6,440	5,781
03-Nov-23	5,640	4,806
28-Sep-23	5,320	4,319
31-Jul-23	5,480	4,679

Price targets shown in table(s) are unadjusted for corporate actions.

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